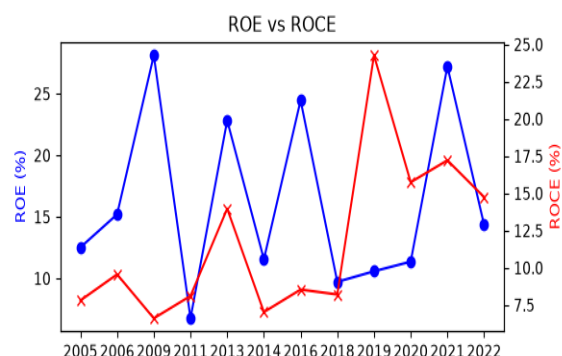
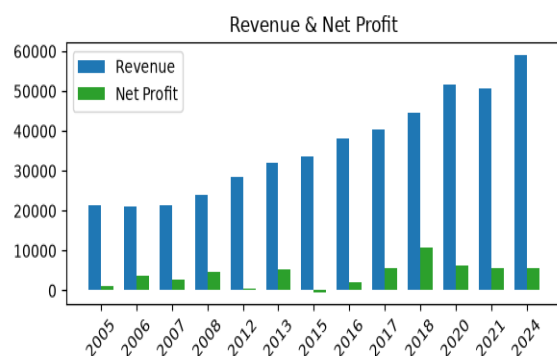
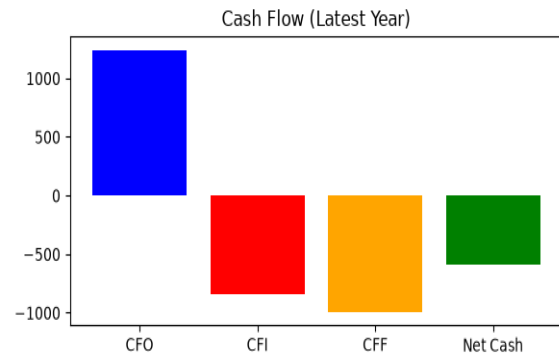
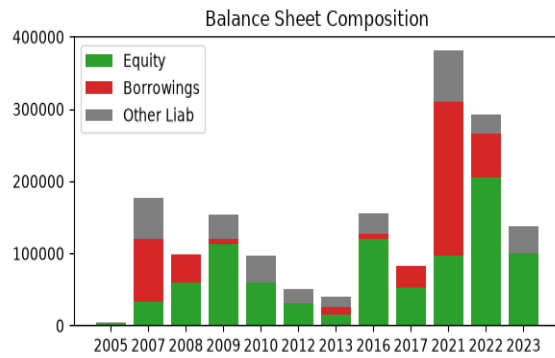


Steel Authority of India Ltd (SAIL)

Revenue	Rs. 59165.4 Cr	Net Profit	Rs. 5683.9 Cr	OPM	23.1%
ROE	14.3%	ROCE	14.7%	D/E	1.62





Capital Allocation Pattern: Distress Signal

Pros:

- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons:

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable